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Asia Compass | Asia Pacific

The Old Playbook Is Changing

Asia is being tested again, but the old playbook doesn't quite fit. Higher energy costs, or trade barriers, would once have pointed to familiar vulnerabilities across Japan, China, and India. This time, each economy has more going for it. Japan has a new technology-driven source of policy momentum, China's manufacturing ecosystem is proving harder to dislodge than many expected, and India's rural economy has more buffers than it did in the past.

That matters because the real story across Asia isn't the shock, but what has changed underneath it. Investment, technology, infrastructure, and productivity are steadily reshaping how Asia's largest economies grow and how they handle pressure. The question worth watching is whether today's resilience can become tomorrow's growth engine.

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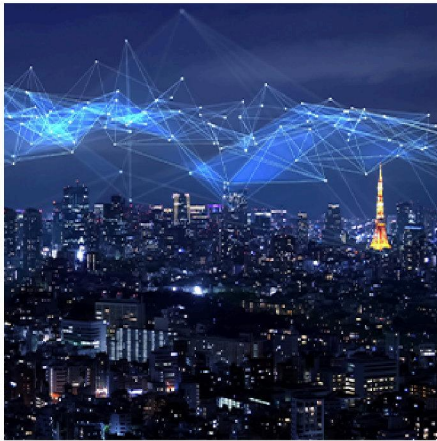
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Three Key Reports: The Forces Reshaping Asia's Growth



Japan: The AI Offset: From Export Tailwind to Growth Driver?

Japan is less vulnerable to an oil shock than in the past. The AI boom is lifting chip exports, prices, and investment, cushioning higher energy costs. If those gains spread to wages, productivity, and consumption, AI could reinforce Japan's shift to higher growth.



Why China Will Deepen Its Presence in Global Supply Chains

China's grip on global supply chains is tightening despite protectionism. Its export share is rising, while Chinese inputs increasingly reach the US via third countries. With deep supply chains, technical talent, and robotics leadership, its manufacturing edge could widen.



India: Why the Rural Economy Will Remain Resilient

India's rural economy should slow, not contract, despite a tougher monsoon and high commodity prices. Policy buffers and diversifying incomes offer support. Raising productivity and moving workers into higher-value jobs could unlock stronger consumption, credit, and investment.

Beyond the Headlines: Living on the Edge – The Rise of Distributed Power



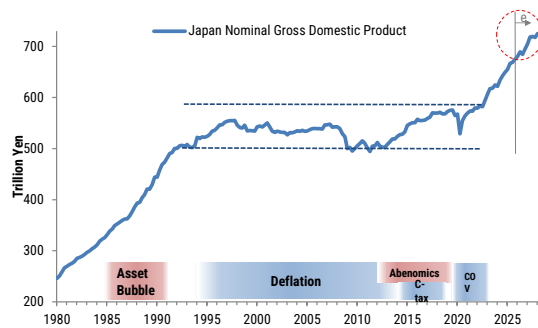
The AI buildout is colliding with a grid that cannot deliver power fast enough. As inference moves computing closer to users, we expect behind-the-meter power and storage to become core infrastructure – a durable architectural shift with spillover from data centers into C&I.

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Not to Be Missed

One Chart You Can't Miss

Exhibit 1: AI Demand Mitigates the Drag on Nominal GDP Growth from Deteriorating Terms of Trade



Note: e = Morgan Stanley Research estimate, Source: Cabinet Office; Morgan Stanley Research

Must-Listen Podcast



China's \$12 Trillion Manufacturing Upgrade

China Industrials analyst Sheng Zhong explains how AI, robotics and a major investment cycle could transform China's manufacturing base and its role in global supply chains.

We expect volatility to remain heightened and emphasize our wider bull-to-bear spread across the region.

Exhibit 2: Key Market Forecasts and Key Macro Forecasts

Market/Region (Index)	MS Rating	Latest Price	Jun 2027 Index Target						12mf P/E Valuations		
			Bear Case (%)		Base Case (%)		Bull Case (%)		Current	10yr Avg	% +/-
MSCI Emerging Markets	EW	1,726	1,100	-36.3%	1,800	4.3%	2,200	27.5%	9.7	12.3	-21%
MSCI Asia Pac ex Japan	-	885	590	-33.3%	900	1.7%	1,120	26.6%	10.4	13.6	-23%
Japan (TOPIX)	OW	4,154	2,600	-37.4%	4,300	3.5%	4,900	18.0%	15.6	14.2	10%
China (MSCI China)	EW	72	60	-16.3%	80	11.5%	97	34.7%	10.0	11.8	-15%
China A-Shares (CSI 300)	-	4,358	3,290	-24.5%	4,880	12.0%	5,640	29.4%	12.4	12.4	0%
Hong Kong (Hang Seng)	EW	24,131	17,700	-26.6%	26,550	10.0%	31,900	32.2%	9.9	10.7	-8%
Australia (S&P/ASX 200)	EW	8,728	6,850	-21.5%	9,250	6.0%	10,325	18.3%	17.3	16.5	5%
India (SENSEX)	EW	72,639	66,000	-9.1%	89,000	22.5%	100,000	37.7%	17.7	19.3	-9%
South Korea (KOSPI)	OW	6,804	5,500	-19.2%	9,000	32.3%	10,500	54.3%	5.5	10.4	-47%
Latin America (MSCI LatAm)	-	3,310	2,300	-30.5%	3,600	8.8%	4,700	42.0%	10.6	10.8	-2%
Brazil (Bovespa)	OW	204,302	145,000	-29.0%	240,000	17.5%	280,000	37.1%	9.5	10.3	-7%
Mexico (MEXBOL)	EW	64,653	62,000	-4.1%	80,000	23.7%	90,000	39.2%	12.5	14.0	-10%
USA (S&P 500)	-	7,802	5,900	-24.4%	8,300	6.4%	9,400	20.5%	19.2	19.2	0%
Europe (MSCI Europe)	-	2,507	1,820	-27.4%	2,810	12.1%	3,080	22.9%	13.8	14.2	-3%

Source: FactSet, IBES, Morgan Stanley Research estimates. Data as of 7 October, 2026

Exhibit 3: Key Cross-asset Allocation Views

Global Asset Allocation					Relative Equity Allocation					Relative Tsy Allocation				
Equities					US					USTs				
Bonds					Europe					EGBs				
Credit					Japan					JGBs				
Comms					EM									
Cash														

Source: Morgan Stanley Research

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(as of September 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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